


LOAN AGAIN APPALL

GOVERNMENT SCHEMES

PM MUDRA YOJANA UPDATE

MADE EASY WITH STORYLINE

ALL COMPETITIVE EXAMS



- **Launch**: **2015**
- **Nodal Ministry**: Ministry of Finance
- **Managed by**: National Credit Guarantee Trustee Company Ltd. (NCGTC)
- **Aim:** Financing of small business enterprises in manufacturing, trading and service sectors including activities allied to agriculture such as **homestays**, poultry, dairy, beekeeping etc. by way of providing Term Loan and/or Working Capital.

MUDRA

- Stands for **Micro Units Development and Refinance Agency Ltd**, is a refinance agency and not a direct lending institution, it provides refinance support to its intermediaries
- Responsible for refinancing all Last Mile Financiers such as Non-Banking Finance Companies, Micro Finance Institutions, Societies, Trusts, Section 8 Companies, Small Finance Banks and Regional Rural Banks
- Refinancing agency also partners with State/Regional Level financial intermediaries to provide finance to Last Mile Financier of small/micro business enterprises

Target Clients

- **Non–Corporate Small Business Segment** (NCSB) comprising of proprietorship / partnership firms running as small manufacturing units, service sector units
- Shopkeepers, fruits / vegetable vendors, truck operators, food-service units, repair shops, machine operators, small industries, artisans, food processors and others, in rural and urban areas
- **Loans extended –** By **all Public Sector Banks** such as PSU banks, **Regional Rural Banks (RRBs), Small Finance Banks, Private Sector Banks, Foreign Banks, Micro Finance Institutions and Non-Banking Finance Companies**

Components

- **Shishu**: covering loans **upto ₹50,000**
- **Kishor**: covering loans above ₹50,000 and **upto ₹5 lakhs**
- **Tarun**: covering loans above ₹5 lakh and **up to ₹10 lakhs**
- **Tarun Plus:** Upto **Rs 20Lakh**
  - 20 lakh loan amount applicable **for those who have successfully repaid previous loans under the 'Tarun' category**

Eligible Applicants:

- Any Indian Citizen including women, proprietary concern, partnership firm, private limited company or any other entity
- Who is eligible to avail of loan and has a business plan for **income generating activity**

Key Features

- Loan proposal should be for setting up of a **new/upgrading an existing Micro business enterprises**
- Loans available for purchase of Transport Vehicle / Tractors, tillers as well as two wheelers, in case applicant intends to use vehicle for commercial purposes
- **Upfront fee/processing charges for Shishu loans are waived by most banks.**
- Applicant should not be **defaulter of any Bank / Financial institution to get benefit**
- Credit Guarantee Fund for Micro Units (CGFMU) **created to mitigate issue of collateral**

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MUDRA Card:

- RuPay Debit card issued against the MUDRA loan account
- Borrower can make use of MUDRA Card in multiple drawals and credits
- To manage working capital limit in cost-efficient manner and keep interest burden minimum
- **No subsidy for loan given under PMMY**
  - However, if loan proposal is linked to some Government scheme, wherein the Govt. if providing capital subsidy, it will be eligible under PMMY also
- Life insurance not mandatory for loans under PMMY
- **Terms and conditions of lending based on lending policy of respective lending institution**
- **PAN not compulsory for loan to avail**
  - However, borrower may have to satisfy KYC requirements
  - Interest rates charged under PMMY are as per the RBI guidelines

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Home Work Question from Previous Session

Question: Based on the objectives and features of the Jal Jeevan Mission (JJM)-Har Ghar Jal, which of the following statements are correct regarding the allocation of funds, institutional framework, and technological interventions?

1. The allocation of funds under the scheme is based on rural population (30%), SC/ST populations (10%), and rural areas under special category states (30%).

2. A key component of the scheme includes the retrofitting of completed and ongoing schemes to provide FHTCs, with a minimum service level of 75 lpcd.

3. The institutional framework includes a 4-tier structure at the national, state, district, and village level, where 50% of the members of the Village Water and Sanitation Committee must be women.

4. The scheme focuses solely on rural households, with no provisions for providing tap water to schools or community buildings in villages.

[A] Only 1 and 3

[B] Only 1, 2, and 3

Answer: Option A

[C] Only 2 and 4

[D] 1, 3, and 4

[E] 2, 3, and 4

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